

JAPAN

2012

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

Unemployed people can receive unemployment insurance benefit (basic allowance) for a period that varies according to the reasons for leaving employment, age and the duration of insured employment. Subject to certain conditions, social assistance, including housing assistance, is also available for people with limited means. Child Allowance is paid to parents until the child completes junior high school education. This allowance is not income tested. Central and local government taxation is separate.

1.1. Average Worker wage (AW)

The national currency is the Yen (JPY). In 2012, the average worker is assumed to earn JPY 4788323 (Secretariat estimate).

2. Unemployment insurance

2.1 *Conditions for receipt*

Eligibility depends on the reasons for leaving employment whether or not the person left voluntarily. There are three difference benefit duration - for more detail please refer to item 2.4.

In order to obtain the basic allowance, he or she must carry out job-seeking activities at least twice during the period in which they are receiving the benefit. Examples of job seeking activities are as follows:

a) Application for a job offer

b) Undergoing a consultation, job matching services, seminar or lecture etc. offered by an MHLW-authorized private employment services (PES) or another public organisation.

c) Taking an examination towards a qualification that is conducive to re-employment

2.1.1 *Employment conditions*

The applicant must have been insured for a period of more than 12 months, with more than 11 days per month, over 2 years before unemployment. (Applicants who are made redundant or are unemployed as a result of bankruptcy or dismissal must have been insured for a period of more than 6 months over 1 year before unemployment.)

Before October 2007

Normal workers: more than six months (worked more than 14 days in a month) of UI membership in 1 year.

Part-time workers: more than twelve months (worked more than 11 days in a month) of UI membership in 2 years

After October 2007

Normal cases: more than twelve months (worked more than 11 days) of UI membership in 2 years.

Dismissal, bankruptcy: six months (worked more than 11 days) of UI membership in 1 year. This normally does not include the refusal of renewal of fixed term contracts. But if the employer had shown their willingness to renew the fixed term contract but did not actually renew it, six months of membership is enough. In the OECD calculations are used this case.

After April 2009

In the case of the refusal of fixed term contracts, six months of membership is enough.

2.1.2 *Contribution conditions*

	Employers	Employees	Total
Premiums for unemployment benefits	$\frac{5}{1,000}$	$\frac{5}{1,000}$	$\frac{10}{1,000}$
Premiums for Two Services	$\frac{3.5}{1,000}$	None	$\frac{3.5}{1,000}$

Total	8.5 1,000	6 1,000	13.5 1,000
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2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

The basic allowance is calculated from the daily amount of wages (DAW). DAW is the amount obtained by dividing the total amount of wages, excluding bonuses, paid over the previous 6 months, by 180 days.

The benefit ratio is calculated as below.

A benefit ratio (BR) is calculated for those less than 60 years old using the following formula:

- i) If $2330 \leq \text{DAW} < 4650$ $\text{BR} = 0.8\text{DAW}$
- ii) If $4650 \leq \text{DAW} < 10600$ $\text{BR} = 0.8 - [(0.3 \times (\text{DAW} - 3950)) / (11410 - 3950)]$
- iii) If $10600 \leq \text{DAW} < \text{Maximum Amount}$ $\text{BR} = 0.5\text{DAW}$
- iv) If $\text{DAW} < 2330$ or $\text{DAW} \geq \text{Maximum Amount}$.

The daily amount of basic allowance is fixed at 2330×0.8 and the Maximum Amount is calculated by multiplying the age-dependent figures below by 0.5..

The maximum amount of DAW

Age	In JPY
- 29	12910
30 - 44	14340
45 - 59	15780

The BR for recipients who are between 60 and 65 is calculated using the following formula:

- i) If $2330 \leq \text{DAW} < 4650$ $\text{BR} = 0.8\text{DAW}$
- ii) If $4650 \leq \text{DAW} < 10600$ $\text{BR} = 0.8 - [(0.35 \times (\text{DAW} - 3950)) / (10600 - 3950)]$
- iii) If $10600 \leq \text{DAW} < 15060$ $\text{BR} = 0.45\text{DAW}$
- iv) If $\text{DAW} < 2330$ or $\text{DAW} \geq 15060$

The daily amount of basic allowance is fixed at 2330×0.8 and 15060×0.45 respectively.

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

Unemployment benefit is not means-tested, and the benefit stops when the recipient is employed or starts his/her own business. Means-tested social assistance can be used to complement the unemployment benefit.

2.3 Tax treatment of benefit and interaction with other benefits

Tax treatment of benefit : Not subject to taxation.

Interaction with other benefits : It is adjusted in relation to pension benefits.

2.4 Benefit duration and waiting periods

It is paid on four weekly basis, following a seven-day waiting period, for a period that varies from 90 to 360 days according to the period of insured employment, the age of the recipient and the reason for leaving employment, as outlined below. One can become eligible once he/she meets requirements again.

(1) Duration of benefits for the ordinary unemployed (exclude (2))

Classification	Insured period (in years)				
	Less than 1	1 to 4	5 to 9	10 to 19	20 or more
All ages	—	90 days	90 days	120 days	150 days

(2) Duration of benefits for persons difficult to re-employ

Age	Insured period (in years)				
	Less than 1	1 to 4	5 to 9	10 to 19	20 or more
Younger than 45	150 days	300 days			
45 – 64		360 days			

(3) Duration of benefits for the unemployed as a result of bankruptcy, dismissal, etc. (exclude (2))

Age	Insured period (in years)				
	Less than 1	1 to 4	5 to 9	10 to 19	20 or more
Younger than 30	90 days	90 days	120 days	180 days	—

30 – 34	90 days	90 days	180 days	210 days	240 days
35 – 44	90 days	90 days	180 days	240 days	270 days
45 – 59	90 days	180 days	240 days	270 days	330 days
60 – 64	90 days	150 days	180 days	210 days	240 days

*The number of unemployment benefit days for fixed-term workers who are unable to renew their contracts is, in principle, set out in table (1) “Duration of benefits for the ordinary unemployed”, but the regulations under table (3) “Duration of benefits for the unemployed as a result of bankruptcy, dismissal, etc” will apply until the end of FY2011.

A unique feature of the unemployment benefit system is the re-employment allowance: a lump sum is paid to a recipient of unemployment benefit who acquires steady employment or starts his/her own business with a certain amount of benefit period remaining. The conditions and ensuing amount of allowance are as follows:

Condition	Amount of allowance
More than one-third of the prescribed duration of benefit remaining (a period which must be greater than 45 days)	The remaining benefit period $\times$ 0.4 $\times$ the daily amount of basic allowance

As a temporary measure of the revision of the Employment Insurance Law in 2009, the conditions were relaxed by reducing the remaining prescribed duration of benefit required to 45 days or more; the amount of allowance was increased according to the remaining benefit period as follows for those who are re-employed between 31st March 2009 and 31st March 2014:

Condition	Amount
More than two-thirds of the prescribed duration of benefit remaining	The remaining benefit period $\times$ 0.6 $\times$ the daily amount of basic allowance
More than one-third of the prescribed duration of benefit remaining	The remaining benefit period $\times$ 0.5 $\times$ the daily amount of basic allowance

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None.

2.5.2 *Older workers*

When older workers equal to or over 65 lose their job, the benefits for them are paid as a lump sum.

Insured employment (years)	The benefit amount (JPY)
Less than 1	30 daily benefit of basic allowance

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1 — 50 daily benefit of basic allowance

The daily amount of basic allowance is calculated in the same way as that of recipients under 30 years old.

2.5.3 *Others if applicable*

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

3. Unemployment assistance

None

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

Social assistance consists of eight types of support offered to those who are unable to provide minimum living standards. These are: livelihood assistance, housing assistance, medical assistance, long-term care assistance, occupational assistance, education assistance, maternity assistance and funeral assistance. Only livelihood assistance and housing assistance are considered here. The selected rates are classified as Grade 1-1, as paid in Tokyo.

Social assistance is provided to a certain extent to supplement the shortfall experienced by people in need of protection based on demand gauged by the standards fixed by the Minister of Health, Labour and Welfare. The standards should be sufficient one to satisfy the minimum demands of their livelihood by means of considering the circumstances according to the age, gender, family members, regions and nature of means of assistance, but besides which it should not be exceeded.

4.1 Conditions for receipt

Social assistance is based on gross earned income. The difference between the amount of gross earnings of the household and the amount of standard will be provided.

Social assistance covers people who are classed as in poverty, despite receiving several kinds of social security measures, and having made use of all available assets, such as real estate, and all capacities to work

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Livelihood assistance is made up of two types of benefit:

- Personal expenses (Category 1) related to the age of each family member:
-

Age	Benefit amount for region (Grade 1-1) (JPY per month)
0-2	20900
3 – 5	26350
6 - 11	34070
12 - 19	42080
20 - 40	40270
41 - 59	38180
60 - 69	36100
70-	32340

- Household expenses (Category 2) related to the number of family members:

Number of family members	1	2	3	4 + X
Basic amount (in JPY per month)	43430	48070	53290	55160+ 440 X

The maximum amount of livelihood assistance is calculated by adding together the amounts in Category 1 for each family member and the amounts in Category 2.

Housing assistance is also available.

Number of family members	1	2-	7-
Basic amount (in JPY per month)	53700	69800	83800

Supplementary child assistance is available:

15,000 yen per month is paid to parents/guardians for each child until the 31th of March following their 15th birthday

Supplementary lone-parent assistance is available:

Calculation of gross benefit

One child 23260 per month
 2 children 25100 per month
 3 or more children 25100 + 940*(n-2) per month
 *n = the number of children

* before the 1st of April following their 18th birthday, and for children under 20 years that are recipients of supplementary disability assistance.

4.2.1.1 Irregular additional payments

Winter supplementary assistance (in Tokyo, in JPY per month) is provided 5 months a year (from November to March).

*Winter supplementary assistance is added to household expenses (Category 2).

year	1 person	2	3	4	5 and more amount to add per 1 increase
2001	3,130	4,060	4,840	5,490	200

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2002	3,130	4,060	4,840	5,490	200
2003	3,090	4,010	4,780	5,420	200
2004	3,090	4,000	4,770	5,410	200
2005	3,090	4,000	4,770	5,410	200
2006	3,090	4,000	4,770	5,410	200
2007	3,090	4,000	4,770	5,410	200
2008	3,090	4,000	4,770	5,410	200
2009	3,090	4,000	4,770	5,410	200
2010	3,090	4,000	4,770	5,410	200
2011	3,090	4,000	4,770	5,410	200
2012	3,090	4,000	4,770	5,410	200

4.2.1.2 *Obligations of family members*

Support from those responsible for dependent family members is set above the assistance.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Earnings net of tax up to JPY 8 340 per month are disregarded. For subsequent earnings, social assistance reduces progressively according to the net amount earned. The monthly exemption is assumed to increase proportionally with gross earnings. The monthly amounts are as follows for the same region (Grade 1-1) as for personal expenses:

Monthly gross earnings X (JPY)	Monthly threshold Y (JPY)
0 – 8 340	0 – 8 340
8 340 – 92 000	8 340 – 22 570
92 000 – 240 000	22 570 – 33 190
240 000+	33 190

4.3 *Tax treatment of benefit and interaction with other benefits*

Tax treatment of benefit : Not taxable.

Interaction with other benefits :

(Calculation of Assistance Amount)

Minimum living expenses – Income appropriation amount* = Assistance amount

*Employment income, social security benefits including pensions, and assistance from relatives are considered as income.

4.4 *Benefit duration and waiting periods*

If conditions are fulfilled after the end of the benefit period, he/she can re-apply.

4.5 *Treatment of particular group*

None

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. Housing benefits for rented accommodation

The housing benefit system was introduced as a special emergency measure. This was introduced in October 2010, and the ending time period will be at the end of fiscal year 2012.

5.1 Conditions for receipt

Three conditions must be met in order to receive Housing Benefit:

1. Income condition

Number of family members	1	2	3-
Monthly earnings	Under 138,000(*) yen	Under 172,000 yen	Under 242,000(*) yen

(*) the value differs by region.

2. Property condition

Number of family members	1	2
Savings and deposits	Under 500,000 yen	Under 1,000,000 yen

3. Job seeking condition

- While receiving the benefit, the beneficiary should receive support such as job consultations at the Public Employment Security Office (at least once a month) or interviews by municipal staff to secure housing and employment (at least twice a month).
- Make an employment application at least once a week in principle.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Rent for accommodation is provided, with maximum benefit amounts set regionally and by income. The modelling uses the rates for Tokyo.

- 1 person household: benefit = rent – (net income – 84000); where the maximum allowed rent is JPY 53 700 per month (Tokyo parameters). If net income is less than JPY 84 000, the benefit is just the allowable rent.
- 2 person household: benefit = rent ; where the maximum allowed rent is JPY 69 800 per month (Tokyo parameters). If net income is more than JPY 172 000, the benefit falls immediately to 0 (it is not gradually withdrawn).
- 3 or more person household: benefit = rent – (net income – 172000); where the maximum allowed rent is JPY 69 800 per month (Tokyo parameters). If net income is less than JPY 172 000, the benefit is just the allowable rent.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

Housing benefit is taxable.

Interaction with other benefits: if the person is eligible for employment-related benefits, these take precedence over housing benefit.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

Child Allowance, which is known as “Jido teate” in Japanese.

6.1 Conditions for receipt

It is available for children until graduation from junior high school. The income cap is set at 9.6 million yen (for families with a parent and two children) as a baseline level (provided for in the Cabinet order), which is applied starting from June 2012 payments.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

A monthly payment is available for each child until the 31st of March following their 15th birthday.

① For persons earning incomes below the income cap

a) Under 3-year-old 15,000 yen per month

b) Over 3-year-old and prior to elementary school graduation (for first and second children) 10,000 yen per month

c) Over 3-year-old and prior to elementary school graduation (for third and subsequent children) 15,000 yen per month

d) Junior high school students 10,000 yen per month

② For persons earning incomes no less than the income cap

Special Interim Allowances (stipulated in the supplementary provisions of the Child Allowance Act) 5,000 yen per month

※The income cap is set at 9.6 million yen (for families with a parent and two children) as a baseline level (provided for in the Cabinet order), which is applied starting from June 2012 payments.

6.2.1.1 Irregular additional payments

None

6.2.2 Income and earnings disregards

None

6.3 *Tax treatment of benefit and interaction with other benefits*

Tax treatment of benefit: Not taxable.

Interaction with other benefits: None

6.4 *Treatment of particular groups*

All groups are eligible as long as the conditions are fulfilled.

6.4.1 *Young persons*

None

6.4.2 *Older workers*

None

6.4.3 *Others if applicable*

None

7. Childcare for pre-school children

Day-care centres are available for children whose parents are unable to look them due to work, illness, etc. In such cases, day-care centres accept children between 0 and 6 years old prior to elementary school. In Japan, compulsory schooling starts in the April following a child's 6th birthday.

The number of children in childcare:

0 years old: 99,223

1~2 years old: 642,862

3~5 years old: 1,338,029

(Data valid on 1/4/2010)

7.1 Out-of-pocket childcare fees paid by parents

The amount of the payment of each user varies each other because the fee for day care is calculated according to parents' previous income tax or municipal tax. However, 60% of the total cost for full-time formal centre-based care is covered by the state, even for parents in full time employment (40 hours per week).

The fees for day care depend on parents' previous income tax or municipal tax. The state provides a standard classification of fees for day care. (see the list held at section 7.2.2.1.) Each municipal government configures its fees according to the list.

Childcare fees are not tax deductible, but people eligible for social assistance under Public Assistance Law are exempt from the fees.

7.2 Child-care benefits

Whilst there is no such thing as child-care benefit, there is a system of primarily income-related reimbursement of child-care costs.

7.2.1 Conditions for receipt

Candidates can apply to use day-care centres if they have pre-school children and are unable to take care of their children due to work, illness etc.. The amount of support is related to income: it increases with local and central income tax (see tax system in section 10).

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

Municipal child-care is available. The following is used as the standard for calculating the amount of government subsidy in each municipality. The more income tax a family pays, the bigger the contribution to child-care costs:

Standard child-care cost per child (JPY per month)

Category*	Income tax position (JPY per year)	Age of child (in years)	
		< 3	3 <
1	Eligible to social assistance	0	0
2	No local tax	9 000	6 000
3	Local tax	19 500	16 500
	Central tax		
4	- 40000	30 000	Actual cost (< 27 000)
5	40000 - 103000	44 500	Actual cost (< 41 500)
6	103000 - 413000	61 000	Actual cost (< 58 000)
7	413000 - 734000	Actual cost (< 80 000)	Actual cost (< 77 000)
8	734000+	Actual cost (< 104 000)	Actual cost (< 101 000)

* Categories 2, 3 exclude cases which fall into categories 1, 4-7.
Categories 4-7 exclude cases which fall into category 1.

The table above is a standard costs for 8 hour use of childcare. The cost of childcare does not differ by the time used.

7.2.2.2 Income and earnings disregards

As local and central income tax is taken into consideration, there are no exemptions.

7.2.3 Tax treatment of benefit and interaction with other benefits

The implicit benefit is not taxable and consumption tax is not applied to formal day-care centres.

Use of a day-care centre has no effect on eligibility for other benefits.

7.2.4 Treatment of particular groups

Children of single parents or families in need of special assistance are given priority access to day-care centres.

As for childcare cost of a lone parent, there is a free cost for category2, and there is a reduction of 1000 JPY per month (all ages) for category3.

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When two or more children (pre-school) of the same household use day-care centres in the same time, there is a reduction of 50% of the childcare fee for the second child and there is a free childcare fee for the all children born after second child.

8. Employment-conditional benefits

Re-employment allowance (see section 2.4).

Please note that removal expenses are covered for people who have to move due to a job or training found by the Public Employment Security Office.

8.1 Conditions for receipt

Re-employment allowance is paid to an unemployment benefit recipient who acquires steady employment or starts his/her own business with more than one-third of the prescribed duration of benefit remaining (a period which must be greater than 45 days). As a temporary measure of the revision of the Employment Insurance Law in 2009, these conditions were relaxed by reducing the remaining prescribed duration of benefit required to 45 days or more for those who are re-employed between 31st March 2009 and 31st March 2012.

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

The amount of re-employment allowance is equal to the remaining unemployment benefit period $\times$ 0.3 $\times$ the daily amount of basic allowance of unemployment benefit. In addition, as a temporary measure of the revision of the Employment Insurance Law in 2009, the amount of allowance was increased according to the remaining benefit period as follows for those who are re-employed between 31st March 2009 and 31st March 2012:

Condition	Amount
More than two-thirds of the prescribed duration of benefit remaining	The remaining benefit period $\times$ 0.6 $\times$ the daily amount of basic allowance
More than one-third of the prescribed duration of benefit remaining	The remaining benefit period $\times$ 0.5 $\times$ the daily amount of basic allowance

8.3 Tax treatment of benefit and interaction with other benefits

Re-employment allowance is not taxable.

8.4 Benefit duration

Re-employment allowance is paid as a lump sum.

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8.5 *Treatment of particular group*

None

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. Lone-parent benefits

9.1 Conditions for receipt

To be eligible for the benefit, candidates must be a lone parent with a child who has not yet reached his/her 18th birthday by 31st March of the given year.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

Number of children	1	2 + X
Basic amount (in JPY per month)	41,430	46,430+ 3 000 X

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

The benefit is means-tested.

Gross annual income minus the employment income deduction (see section 10) minus JPY 80 000 - the amount paid towards public and private insurance premiums. Income-tested thresholds are based on the number of dependents. (See the following table.)

Number of dependents	Applicant	
	Income-tested threshold of full benefit	Income-tested threshold of partial benefit
0	1 9 0 , 0 0 0	1 , 9 2 0 , 0 0 0
1	5 7 0 , 0 0 0	2 , 3 0 0 , 0 0 0
2	9 5 0 , 0 0 0	2 , 6 8 0 , 0 0 0
3	1 , 3 3 0 , 0 0 0	3 , 0 6 0 , 0 0 0
4	1 , 7 1 0 , 0 0 0	3 , 4 4 0 , 0 0 0
5	2 , 0 9 0 , 0 0 0	3 , 8 2 0 , 0 0 0

The amount of partial benefit is calculated as follows:

■Benefit amount = 41,430 - (Amount of income - "Income -tested threshold of full benefit") × 0.0182890

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If there is a second child, an additional JPY 5 000 is disbursed per month. In cases of three or more children, JPY 3 000 is added per month per child.

The case of full payment

change date	Benefit amount (in JPY per month)
2002.8	42,370
2003.10	42,000
2004.4	41,880
2006.4	41,720
2011.4	41,550
2012.4	41,430

The case of partial payment

change date	A	B
2002.8	42,360	0.0187052
2003.10	41,990	0.0185434
2004.4	41,870	0.0184913
2006.4	41,710	0.0184162
2011.4	41,540	0.0183410
2012.4	41,420	0.0182890

9.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

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9.4 *Benefit duration*

As long as the conditions are fulfilled.

9.5 *Treatment of particular group*

None

9.5.1 *Young persons*

None

9.5.2 *Older workers*

None

9.5.3 *Others if applicable*

None

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

Each individual is taxed separately.

10.1.1.1 Standard allowances

- *Basic allowance:* a taxpayer may deduct JPY 380 000 as a basic allowance from his or her income.
- *Allowance for spouse:* allowance equal to JPY 380 000 is given to a resident taxpayer who lives with a spouse whose income does not exceed JPY 380 000.
- *Special allowance for spouse:* the allowance included in the following table is given to a resident taxpayer who lives with a spouse:

Spouse's income	Amount
0-380,000	0
380,001-399,999	380,000
400,000-449,999	360,000
450,000-499,999	310,000
500,000-549,999	260,000
550,000-599,999	210,000
600,000-649,999	160,000
650,000-699,999	110,000
700,000-749,999	60,000
750,000-759,999	30,000
760,000 or more	0

- *Allowance for dependents:* if a resident taxpayer has children and other relatives whose income does not exceed JPY380 000 and who are over 15 years old, an allowance of JPY 380 000 is given for each dependent.
- *Special allowance for dependents:* if a resident taxpayer has dependents whose income does not exceed JPY380 000 and who are between 19 and 22 years old, an allowance of JPY 630 000 is given for each dependent instead of the allowances for dependents mentioned above.
- *Deduction for social insurance premiums:* the amount of social insurance premiums for a resident taxpayer or his/her dependents shall be deducted from his/her income without any ceiling.
- *Employment income deduction:* the following amounts may be deducted from employment income in calculating taxable income:
 - If gross employment income does not exceed JPY 1 800 000 the deduction is 40 per cent of salaries (etc.), but the minimum amount deductible is JPY 650 000.

- If gross employment income exceeds JPY 1 800 000, but not JPY 3 600 000, the deduction is JPY 180 000 plus 30 per cent of salaries.
- If gross employment income exceeds JPY 3 600 000, but not JPY 6 600 000, the deduction is JPY 540 000 plus 20 per cent of salaries.
- If gross employment income exceeds JPY 6 600 000, but not JPY 10 000 000, the deduction is JPY 1 200 000 plus 10 per cent of salaries.
- If gross employment income exceeds JPY 10 000 000, the deduction is JPY 1 700 000 plus 5 per cent of salaries.
- As from FY2014, If gross employment income exceeds JPY 15 000 000, the deduction will be fixed at JPY 2 450 000.

10.1.1.2 Standard tax credits

10.1.2 Tax schedule

Taxable Income (JPY) (*)		Tax Rate (%)	Deductible Amounts for Each Bracket (JPY)
		(A)	(B)
Over	Not over		
	1 950 000	5	--
1 950 000	3 300 000	10	97 500
3 300 000	6 950 000	20	427 500
6 950 000	9 000 000	23	636 000
9 000 000	18 000 000	33	1 536 000
18 000 000		40	2 796 000

(*) The fraction of taxable income that is less than JPY 1 000 is rounded down.

Tax liability is obtained by multiplying the taxable income by tax rate (A) and deducting the amount (B). For example, income tax due on taxable income of JPY 7 million is:

$$7\,000\,000 \times 0.23 \text{ (A)} - 636\,000 \text{ (B)} = \text{JPY } 974\,000.$$

10.1.3 State and local income taxes

General description of the system

State and local income taxes in Japan consist of prefectural inhabitants tax levied by prefectures and municipal inhabitants tax levied by cities, towns and villages. The prefectural inhabitants tax is collected together with the municipal inhabitants tax by cities, towns and villages.

Tax base

Basically, prefectural and municipal inhabitants' taxes (local taxes) consist of two parts; one is proportional taxable income and the other is a fixed per capita amount. The way to compute the taxable income of local taxes is similar to that of the previous year's national income tax. The main difference is the amount of reliefs. For example, the amount of Basic Allowance, Allowance for Spouse, Allowance for Dependants is JPY 330 000, the amount of Special Allowance for dependants is JPY 450 000, etc. As from 1 April 2012, deduction for dependents (up to 15 years old) (JPY 330,000) and the additional part of the deduction for the specified dependents (between 16 and 18 years) (JPY 120,000) were abolished along with the change in the central government income tax.

Tax rate

- The standard fixed (annual) per-capita amount of Prefectural inhabitants tax is JPY 1 000
- The standard fixed (annual) per-capita amount of Municipal inhabitants tax is JPY 3 000
- The standard rate of the Prefectural and Municipal inhabitants tax equals a proportional rate of 10 per cent (Prefectural inhabitants tax: 4 per cent, Municipal inhabitants tax: 6 per cent). (*)

(*) The state and local tax rate and the central government income tax rate were changed by the FY2006 tax reform. Also a new local income tax credit regime was introduced in order to alleviate the tax burden increase arising from the changes in the tax rates and in order to mitigate any increase in the tax burden arising from the difference between the personal reliefs (Basic Allowance, Allowance for Spouse, Allowance for Dependents, Special Allowance for dependents, etc.) for national income tax purposes and for inhabitant tax purposes.

Taxable income for local income tax purposes	The tax credit
JPY 2 000 000 or less	5 per cent of the lesser of: • total amount of differences in personal reliefs between those for national income tax purposes and for local income tax purposes; or • taxable income for local income tax purposes
More than JPY 2 000 000	((total amount of differences in personal reliefs between those for national income tax purposes and for local income tax purposes) – (taxable income for local income tax purposes – JPY 2 000 000)) * 5%. The minimum credit is JPY 2 500

Note: Local authorities do not levy the per-capita rate and the proportional rate on a taxpayer whose previous year's income does not exceed a certain amount. For example, in special wards of Tokyo, this threshold is calculated as follows:

- per-capita rate: $(1 + \text{number of spouse and dependent(s) qualified for the allowance for spouse/dependents}) * 350,000 (+ 210,000 \text{ in case the taxpayer has a qualified spouse or dependent(s)})$
- proportional rate: $(1 + \text{number of spouse and dependent(s) qualified for the allowance for spouse/dependents}) * 350,000 (+ 320,000 \text{ in case the taxpayer has a qualified spouse or dependent(s)})$

Tax rate selected for this study

Country-wide rates as described above. The local income tax rates chosen for the purpose of the modelling represent a country-wide average.

10.2 Treatment of family income

Each individual is taxed separately.

10.3 Social security contributions and payroll taxes

10.3.1 *Contributions payable by employees and benefit recipients*

- Pension: 8.206 per cent of total remuneration (standard remuneration and bonuses), up to the insurable ceiling of JPY 620 000 (monthly).
- Sickness: 5.00 per cent of total remuneration (standard remuneration and bonuses) up to the insurable ceiling of JPY 1 210 000 (monthly).
- Unemployment: 0.5 per cent of total remuneration.
- Work injury and family allowance: None.

10.3.2 *Contributions payable by employers*

- Pension: 8.206 per cent of total remuneration, up to the insurable ceiling of JPY 620 000 (monthly).
- Sickness: 5.00 per cent of total remuneration up to the insurable ceiling of JPY 1 210 000 (monthly).
- Unemployment: 0.85 per cent of total remuneration.
- Work injury: 0.25 per cent to 8.9 per cent of total remuneration, the contribution rate depending on each industry's accident rate over the last three years and other factors. There are thirty rates for fifty-five industrial categories at present.
- Family allowance: 0.15 per cent of total remuneration.

10.3.3 *Payroll taxes*

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

Minimum of 12 months of insured work in the last 24 months (with minimum 20 hours of work per week and minimum 11 days of work per month) are required to be eligible for unemployment benefits.

11.2 *Special tax and social security contribution rules for part-time work*

None

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Policy developments

12.1 Policy changes introduced: 2nd July 2011– 1st July 2012

Child Allowance from April 2012.

12.2 12.2 Future policy changes announced since July 2012

About the child allowance, the child in whom the father or the mother received the protective order from a court from August was also added to the requirements for provision.

Section 10.1.1.1 - As from FY2014, If gross employment income exceeds JPY 15 000 000, the deduction will be fixed at JPY 2 450 000.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasi compulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.